SOUTH SUDAN

Table 1	2019
Population, million	13.0
GDP, current US$ billion	4.9
GDP per capita, current US$	375.2
School enrollment, primary (% gross)[a]	73.0
Life expectancy at birth, years[a]	57.6

Source: WDI, Macro Poverty Outlook, and official data.
Notes:
(a) WDI for School enrollment (2015); Life expectancy (2018).

South Sudan has suffered multiple shocks with the COVID-19 pandemic, low oil prices, floods, and locust infestation drastically changing the economic outlook. Currency depreciation and rising prices are of particular concern. Moreover, an increase in intercommunal violence has driven a new wave of internal displacement, exacerbating an already dire humanitarian situation with 7 million food insecure and 1.6 million internally displaced people. Recovery beyond FY21 depends on developments in the oil sector, resolution of violence, and resilience to agricultural shocks.

Key conditions and challenges

South Sudan's development has been undermined by years of conflict and neglect that can be traced to the pre-independence era. After two protracted civil wars that preceded the 2005 Comprehensive Peace Agreement which laid the groundwork for independence in 2011, there was hope that peace would finally prevail. However, the country descended into conflict in December 2013 and again in 2016 as a 2015 peace deal collapsed. A revitalized peace agreement signed in September 2018 led to the formation of a transitional government in February 2020. However, intercommunal violence persists and has been a leading cause of displacement in recent months.

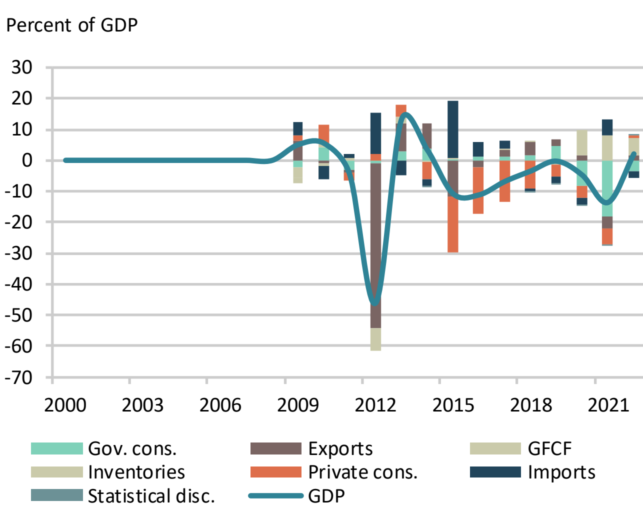
To date, the lingering impact of the prolonged conflict, which resulted in a major economic crisis, is critically affecting livelihoods, constraining food availability, and access to basic services for large segments of the population. It is estimated that about 1.6 million people remain internally displaced and 2.3 million South Sudanese refugees are still residing in neighboring countries. Legacy of economic mismanagement and resistance to reform have resulted in a distorted macroeconomic environment. Financing of the fiscal deficit led to soaring inflation, adding to an economic crisis with output contacting and widening exchange rate premium.

COVID-19 effects have been transmitted through lower oil prices, an increase of the prices of basic commodities due to trade disruptions, lower remittances receipts, and restrictions on humanitarian operations on the ground. Parts of the country have been affected by an infestation of locusts and floods, with FAO estimates indicating substantial losses in affected areas. In addition to destroying assets, crops, and pasturelands, floods have led to an increase in waterborne and malarial diseases. The economy is projected to contract in FY20 and FY21. Even if oil prices will recover in the future, past experiences indicate a disconnect between oil revenues and living standards.

Recent developments

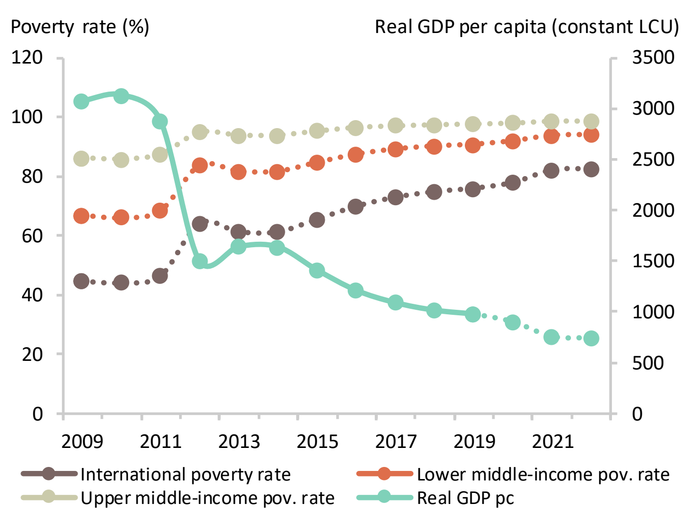
Real GDP is estimated to have contracted by -4.8% during FY20 as oil prices plummeted and private consumption slumped. The FY20 fiscal deficit widened to 6.8% of GDP as both commodity and tax revenues underperformed. Monetization of the fiscal deficit as well as supply chain disruptions led to an increase in inflation. Food prices increased in the range 25 – 105% year-on-year by April as COVID-19 restrictions affected the flow of trade and access to markets. The average rate of inflation is estimated to have increased to 72.2% during FY20 from 63.6% during FY19. Imports from Uganda declined 9.3% year-on-year over a three-month period March – May 2020.

FIGURE 1 South Sudan / Real GDP growth and contributions to real GDP growth



Source: World Bank staff estimates.

FIGURE 2 South Sudan / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

The South Sudan Pound depreciated 35% during June – August 2020 and the parallel market premium increased to 150% by end of August 2020 from 105% at the end of June 2020.

Recent phone surveys show significant COVID-19 impacts on households. Lower purchasing power and a multitude of shocks will likely increase poverty and vulnerability as 52% of respondents reported losing either some or all their income from their main income source post-COVID. In addition, 46% were unable to buy their main staple foods due to lack of money (44%) or higher food prices (11%) and 42% of domestic remittance-receiving households reported a decline, with 16 % reporting a cessation of this income source.

Government's response to COVID-19 included reduction of both the Central Bank Rate (15% to 13%) and Reserve Requirement Ratio (20% to 18%) by 2 percentage points in April 2020. Additional measures reduced the Central Bank Rate by a further 3 percentage points, down to 10%, and suspended the regulation of higher minimum paid-up capital for commercial banks. In addition, South Sudan has created two special committees to oversee critical economic and PFM reforms in response to COVID-19.

Outlook

The FY21 budget process has been delayed, government resources have shrunk, and the fiscal deficit is expected to rise to 8.2% of GDP in 2021. Oil revenues are expected to decline to 13.5% of GDP in FY21 from 18% in FY20, while tax revenues are expected to shrink to 1.3% of GDP in FY21 from 2.5% of GDP in FY20. South Sudan authorities are looking to the international community for support.

South Sudan's oil sector has continued to be the primary driver of growth, but further expansion will depend on higher oil investments. Recently, oil revenue has been heavily impacted by lower oil prices and OPEC+ production cuts, with South Sudan's oil production down 20,000bpd to an estimated 175,000bpd. Due to COVID-19, the government has postponed plans for an oil licensing round until FY22.

The current account is expected to deteriorate sharply in FY21 with lower oil exports. Private consumption will continue to decline impacted by inflation, a depreciating local currency, expected lower crop harvest due to floods, reduced remittance inflows, and conflict. Looking forward, real GDP is projected to contract by -13.6% in FY21, driven by declining exports and private consumption. Recovery in FY22 is predicated on the assumption of a rebound in the global economy (higher oil prices and remittances) and resolution of conflict.

Given the reduction in household and business income, fall in wages and remittances as measured by the recent COVID-impact phone surveys, poverty at $1.90 per person per day is projected to increase to 82% in FY21 from 76% in FY19. Resilience to natural disasters and communal conflict is key to reducing vulnerability, especially among the displaced populations. Going forward, there is an urgent need for a nationally representative household survey to estimate poverty and monitor changes in welfare of the South Sudanese population.

TABLE 2 South Sudan / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2017	2018	2019	2020 e	2021 f	2022 f
Real GDP growth, at constant market prices	-6.9	-3.5	-0.3	-4.8	-13.6	2.1
Private Consumption	-21.9	-17.8	-8.6	-9.7	-13.5	1.6
Government Consumption	3.0	4.0	10.1	-15.7	-38.4	-10.9
Gross Fixed Capital Investment	3.0	4.0	-8.1	47.6	32.4	14.5
Exports, Goods and Services	18.4	27.9	10.7	8.2	-15.9	7.0
Imports, Goods and Services	-10.0	3.2	6.9	6.9	-14.9	6.5
Real GDP growth, at constant factor prices	-6.9	-3.5	-0.3	-4.8	-13.6	2.1
Agriculture	-16.0	-2.5	9.9	3.8	2.9	3.2
Industry	-3.5	15.0	8.0	8.2	-13.9	7.1
Services	-7.2	-14.6	-8.7	-18.9	-17.6	-4.9
Inflation (Consumer Price Index)	384.8	121.6	63.6	72.2	32.2	24.4
Current Account Balance (% of GDP)	-0.7	-3.7	-2.6	-4.0	-11.1	-1.4
Net Foreign Direct Investment (% of GDP)	-0.2	0.3	-0.5	-0.2	0.1	0.1
Fiscal Balance (% of GDP)	-0.3	-3.3	0.0	-6.8	-8.2	-6.0
Debt (% of GDP)	85.3	59.7	37.2	31.5	37.0	36.0
Primary Balance (% of GDP)	-0.2	-3.0	0.4	-6.7	-8.0	-5.9
International poverty rate ($1.9 in 2011 PPP)[a,b]	72.9	74.8	75.9	77.8	82.1	82.3
Lower middle-income poverty rate ($3.2 in 2011 PPP)[a,b]	89.2	90.3	90.8	92.0	93.8	94.0
Upper middle-income poverty rate ($5.5 in 2011 PPP)[a,b]	97.2	97.6	97.8	98.1	98.8	98.8

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices.
Notes: e = estimate. f = forecast.
(a) Calculations based on 2009-NBHS. Actual data: 2009. Nowcast: 2010-2019. Forecast are from 2020 to 2022.
(b) Projection using neutral distribution (2009) with pass-through = 0.7 based on GDP per capita in constant LCU.